

Chapter #4

Adjusting Entries

→ are journal entries made at the end of accounting period to ensure that financial statements accurately reflect the company's financial performance & position.

→ The span of time covered by an income statement.

→ Usually the period during which the financial statements are prepared and distributed to investors, bankers and government agencies in one year.

Why need adjusting entries?

→ Transaction affecting more than one accounting periods.

مثال: إذا كان لدينا دخل أو نفد في فترة معينة، فنحتاج إلى تعديل الدخول أو النفقات لتعكس الفترة الفعلية التي حدثت فيها.

for example:

1. Dec 2024 - pay rent
for 3-months in advance \$3000.

→ Given transaction relate to 2025 also, so we need to adjust them.

Types of Adjusting entries

1. Expense paid in advance:

ہو قلم expense جو ہم advance میں سے
Assets میں جاتا ہے۔
Prepaid Assets
Rent, fee, insurance etc.
Adjusting entries کے آخر پر ان کو ہم
period کر کے

→ Also known as:

- Deferred expense
- Unexpired expense
- Prepaid expense.

ان کی entry اس طرح کرتے ہیں:

Fee expense → Dr

Prepaid Fee → Cr

یا درجہ کا طریقہ:

(Exp + prepaid expense)

2. Accrued expense:

ہو قلم expense جو ہم نے لی ہے
Accrued expense
for example:

Salary, interest, income tax,
utility bills.

Also known as:

- Outstanding expense
- Unpaid expense
- Expense payable.

اس کی entry اس طرح کرتے ہیں -
(exp + exp payable)
Salary expense

Salary payable

ہو قلم liability جو ہم

3. Income / Revenue Received in advance:

advance ہو قلم Revenue / income
میں وصول کرتے ہیں وہ liability میں جاتی ہیں۔
سال کے آخر میں دوبارہ Revenue میں Connect
کرتے ہیں۔

اس کی entry اس طرح کرتے ہیں -
(Unearned + earned Revenue)

Unearned Revenue < service name >

earned Revenue < service name >

→ Also known as:

- Deferred income.
- Unexpired income
- Prepaid income
- Unearned income
- ... income

4. Accrued income:

ہو گا income جو کم نہ ہو لیکن لیان میں ہو
 Accrued income کہلاتی ہے
 اس کی entry اس طرح ہوتی ہے:
 Alc Receivable
 earned Revenue, consulting services

⇒ Also known as:

- income earned but not received
- income Receivable

5. Depreciation:

Assets کو استعمال کرنے کے بعد اس کی value میں کمی
 کہلاتی ہے depreciation
 اس کی entry اس طرح ہوتی ہے:
 Dep. expense → Dr
 Acc. Dep. → Cr

اس کی value خود calculate کرنے سے
 سال کا record نہیں لیا تو Year پر ÷ (پر سال)
 Otherwise month پر ÷ (پر سال)
 جب بھی Useful life کا استعمال ہوگا تو
 depreciation کی entry ہوگی۔

Notes:

Supplies → Consumable Asset
 پر مشتمل - اور اس کے سابقہ prepaid استعمال
 نہیں کرتے (Supplies exp + supplies) اس طرح
 entry ہوگی ہمیشہ۔

← اگر کوئی رقم Advance میں Pay کر دی گئی ہے
 زیادہ months کی تو رقم Per month کی رقم فعال ہے اس لیے
 Use کرتے ہیں adjusting entry value
 " Supply on hand کا مطالبہ ہے۔ جتنا ہی بقیہ ہے

Characteristics of Adjusting entries

1st:

• Every adjusting entry involve the recognition of either revenue or expense.

2nd:

• Every adjusting entry affects both an income statement account & a balance sheet account.

3rd:

• Every adjusting entry based on the concept of accrual accounting, not upon monthly bills & month-end transaction.

Adjusting entry for bad debt:

Bad debt expense Dr

Allowance for bad debt Cr

Definitions

Adjustment:

An adjustment means to make a correct record of a transaction which has ^{not} been entered or which has been entered but in incomplete or wrong way.

Prepaid expense:

paid in advance but not yet used

⇒ The expenses which have been paid during the current year but the services or benefit against them, have not been received till the end of the current year.

e.g. prepaid rent for three months.

Outstanding expense: - incurred but not yet paid

⇒ The expenses which have been incurred during the current year but have not been paid till the end of the current year are known as outstanding expense.

ex:

- Wages payable
- Accrued Salaries
- Utilities used but not yet billed.

interest earned on a bank deposit but not yet credited to the account

earned but not yet received

Accrued Revenue:

⇒ The revenue which have been earned in the current year, but has not been received in cash within the current year, it will be received in the next year, known as accrued revenue or revenue receivable.

example:

- Accrued Commission (Cx)
- Rent receivable etc

Unearned Revenue: - received in advance but not yet earned.

⇒ Revenue, which has not become due but has received in advance.

example:

- Unearned Commission
- Rent Received in advance etc

Advance payment for a service to be provided in the future.

$$\text{interest} = \text{amount} \times \text{interest rate} \times \frac{\text{month}}{12}$$

$$\text{insurance} = \left(\frac{\text{total amount}}{12} \right) \times \text{no of months}$$

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Date	Detail	Dr \$	Cr \$
(a)	Rent expense	1100	
	Prepaid rent		1100
(b)	Dues & sub	710	
	prepaid dues & sub		710
(c)	Supplies expense	850	
	Supplies		850
	(\$1300 - 450 = \$850)		
(d)	Dep. expense	2000	
	Accumulate Dep.		2000
	(20000 / 10 years = 2000)		
(e)	interest expense	100	
	interest payable		100
(f)	Unearned consulting services	32550	
	earned consulting services		32550
(g)	A/C Rec.	3000	
	earned cons. services		3000
(h)	Salaries expense	2200	
	Salaries payable		2200

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(Ex - 4-6)

Date	Detail	Dr \$	Cr \$
(a)	Interest expense	4800	
	interest payable		4800
(b)	Dep. expense	417	
	Accumulate Dep.		417
	$25000 / 5 \times 12 = 417$		
(c)	A/C Rec.	2300	
	interest revenue		2300
(d)	No entry		
(e)	Salaries expense	2800	
	prepaid salaries		2800

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(EX- 4A-2)

Date	Detail	Dr \$	Cr \$
(a)	interest expense	200	
	interest payable		200
	Salaries expense	970	
(b)	Salaries payable		970
	A/c Rec.	4700	
(c)	Services		4700
(d)	Unearned fee	2780	
	earned fee		2780
	Insurance expense	3000	
(e)	prepaid insurance		3000
	Rent expense	1600	
(f)	prepaid expense		1600
	Supplies expense	660	
(g)	Supplies		660
	(\$1460 - 800 = \$660)		
	Dep. expense	220	
(h)	Acc. Dep.		220
	26400 / 120 mon = 220		

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(EX- 4A-5)

Date	Detail	Dr \$	Cr \$
(a)	Rental expense	21050	
	prepaid rental		21050
	Dep. expense	700	
(b)	Acc. Dep		700
	(168,000 / 240) = 700		
	Dep. expense	600	
(c)	Acc. Dep		600
	(36000 / 60 = \$600)		
	interest expense	1650	
(d)	interest payable		1650
	Unearned fee	500	
(e)	earned fee		500
	A/c Rec.	2250	
(f)	Concession revenue		2250
	Salaries expense	1500	
(g)	Salaries payable		1500

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(EX - 4A - 6)

Date	Detail	Dr \$	Cr \$
(a)	Dep. expense	10,000	
	Acc. Dep.		10,000
	(1200000/20 = \$10,000)		
(b)	Unearned passenger revenue	38650	
	Passenger revenue		38650
(c)	Salaries expense	3300	
	Salaries payable		3300
(d)	Interest expense	5000	
	Interest payable		5000
(e)	A/C Rec.	4600	
	Freight Services Revenue		4600
(f)	Rent expense	4800	
	Prepaid rent		4800
	14400/3 = 4800		
(g)	Insurance expense	6300	
	Prepaid insurance		6300
	(25,200/12 = 2100 x 3 = 6300)		

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(EX - 4B - 1)

Date	Detail	Dr \$	Cr \$
(a)	Interest receivable	2250	
	Interest revenue		2250
	Annually = $\frac{90000 \times 12}{100}$		
	= 10800		
(b)	Per month = $10800/12 = 900$		
	obtained on Nov 1, 20		
	for 2 nd month is due		
	= $2 \times 900 = 1800$		
	Entry will be:		
	Interest expense	1800	
	Interest payable		1800
(c)	Dep. expense	2100	
	Acc. Dep		2100
	$25,200/4 \times 12 = 525$ Per month		
	(525 x 4 = 2100)		
(d)	No entry bec		
	starting on Jan 1		
	for a period of 6		
	month, so no entry		
	is recorded for December		
	since the rent begins		
	on January 1.		

(e)	Salaries expense	9900	
	Salaries payable		9900
(f)	A/c Receivable	18500	
	Rental revenue		18500
(g)	Unearned rental revenue	7500	
	Rental revenue		7500
	18000/12 = 1500 per month (5 x 1500 = 7500)		
(h)	Rental expense	1100	
	Rental payable		1100
	(Daily rate = \$50 Days used 22 Total expense = 22 x \$50 = \$1100)		

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(Prob- 4B-2)

Date	Detail	Dr \$	Cr \$
(a)	Dep. expense	285	
	Acc. Dep.		285
	(1700/5 x 12 = \$285)		
(b)	Unearned fee	6400	
	earned fee		6400

(c)	Salaries expense	1700	
	Salaries payable		1700
(d)	Rent expense	1800	
	prepaid expense		1800
	\$400 / 3 month = 1800		
(e)	A/c Rec.	2900	
	investigative service		2900
(f)	Supplies expense		
	Supplies		
	\$1050 - 600 = \$450		
(g)	Insurance expense	800	
	prepaid insurance		800
	2400 / 6 = 2 x 400 = 800 = 400 per month ↓ months		

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(Problem- 4B-5)

Date	Detail	Dr \$	Cr \$
(a)	A/c Rec.	11750	
	Freight revenue		11750
(b)	Rent expense	2700	
	prepaid expense		2700
	(8100/3 = 2700)		

(c)	Insurance expense	16400	
	prepaid insurance		16400
	(49,200/12 = 4100 x 4 = 16400)		
(d)	Dep. expense	4750	
	Acc. Dep.		4750
	(855000/180 = 4750)		
(e)	interest expense	4500	
	interest payable		4500
(f)	Unearned passenger revenue	94750	
	earned passenger revenue		94750
(g)	Salaries expense	1625	
	Salaries payable		1625

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Date	detail	Dr \$	Cr \$
(a)	film Rent expense	42275	
	prepaid ^{film} rent		42275
(b)	Dep. expense	875	
	Acc. Dep.		875
	210,000/240 = 875		
(c)	Dep. expense	1500	
	Acc. Dep.		1500
	90,000/60 = 1500		

(d)	interest expense	1800	
	interest payable		1800
(e)	Unearned admission revenue	3650	
	admission revenue		3650
(f)	A/C Rec.	6200	
	Concession Revenue		6200
(g)	Salaries expense	3750	
	Salaries Payable		3750

Past - Papers 2023

(Q.4)

date	detail	Dr \$	Cr \$
(i)	Film Rental expense	15200	
	prepaid ^{film} Rent expense		15200
(ii)	Dep. expense - Building	700	
	Accumulate Dep.		700
	168,000/120 = 1400		
(iii)	Dep. expense - Fixture & Equip	600	
	Acc. Dep.		600
	(36000/60 = 600)		
(iv)	interest expense	1500	
	interest payable		1500

Journalize transactions.

(v)	Unearned fee admission	500	500
(vi)	Alc Rec. earned fee	2250	2250
(vii)	Salaries expense	1700	1700
	Salaries payable		
(viii)	Income tax expense	4200	4200
	Income tax payable		

Date	Detail	Dr \$	Cr \$
1	Cash	150,000	
	Capital		150,000
2	Equipment	240,000	
	Cash		100,000
	Note payable		140,000
4	Prepaid Rent	10,000	
	Cash		10,000
3	Cash	12,000	
	Unearned rental fee		12,000
5	Office supplies	1850	
	Note payable		1850
7	Repairs & maintenance	290	
	Note payable		290
12	Salaries	3200	
	Cash		3200
15	Cash	7200	
	Alc Rec.	1700	
	Rental fee		8900